

per over them.) The premise is that there are somewhere people of such experience and insight that they can predict with some sort of accuracy the future behavior of securities.

*The financial statement of an investment trust
is so naked! Not only widows but also orphans
can understand it.*

So a lot of us who clearly are not magicians pool our money together and hire a set of men to do the guessing. They may not be quite magicians but they have everything that should be necessary—experience, reputation, trained staffs, inside information, and limitless resources for research. Since the amount we pool together is in the neighborhood of a hundred million dollars, we can afford to pay them fortunes for their ability. Paying them fortunes will be a bargain for us, provided only that they come across with the ability.

It is as simple as this: If you wanted to win the class-B golf championship at your country club and the rules permitted you to hire Gene Sarazen, at a reasonable fee, to make your shots for you, what an egotistical fool you would be to play the shots yourself! Well, your money is, no doubt, more important to you than your golf score—but you follow the thought.

The catch is, I am afraid, that there is demonstrable skill involved in playing golf but little evidence that there is any in managing portfolios.

In the terrible fall of 1929 there was an emergency meeting of the board of a certain investment trust. White-faced and irresolute, these men faced each other around the huge mahogany table and tried to avoid each other's eyes. All their convictions were being shattered.

Suddenly one of them spoke, quietly and firmly. "There is no telling how far this thing is going to go," he said. "Such